

Date 12 November 2024

Dear Kamal .

Subject: Grant Letter pursuant to MML ESOP Scheme, 2024

Congratulations! It's a pleasure to honor you as a member of a select group of employees who are being granted Employee Stock Options.

You are an important member of the Midland Microfin. We all are committed to build a formidable Company and in the process, create value for all our stakeholders. While you help create this value, we would like you to share this value too.

We are pleased to issue this grant letter pursuant to the **MML ESOP Scheme 2024** ("Scheme"). We would like to inform you that the Company has identified you as an eligible employee for granting of the options mentioned in the scheme framed by the Company. These options will vest in you in grades at such times during the tenure of this scheme as provided in terms & conditions below.

The details of the proposed Grant of Options in your favour are as under: -

1) Details of the Option Grantee

Name of the Employee:	Kamal .
Employee ID:	01388
Employee Designation (as on 31-03-2024):	Deputy Manager
Department:	Accounts And Finance

2) Option Details

Date of Grant of Options:	12 November 2024
Number of Option Granted:	3250
Exercise Price per Share:	77

3) Grant & Vesting Schedule

Vesting Date	Vesting Option
12 November 2025	650
12 November 2026	812
12 November 2027	812
12 November 2028	976

4) Exercise Period

The exercise period shall not exceed a period of 1 year from each vesting date.

The Options shall Vest and shall be Exercised as per the terms and conditions mentioned below and set out in the **MML ESOP Scheme 2024** and as per above schedule.

The terms & conditions relating to grant of option are as follows:

Midland Microfin Limited

Regd. & Corporate Office: The Axis, Plot no. 1, RB Badri Dass Colony, BMC Chowk, G.T. Road Jalandhar – 144001 INDIA.
Tel.: 0181 – 5085555, 5086666 Fax: 5087777, email id: info@midlandmicrofin.com, Website: www.midlandmicrofin.com
CIN – U65921PB1988PLC008430

- a. The Company offers you options based on your cost to the company, Interpersonal skills, Discipline, Efficiency and Effectiveness towards job & Tenure of service in the organization. These options are just a right and not an obligation for you.
- b. The exercise period pursuant to the Scheme will be 1 year starting from the date of vesting of each grant of option.
- c. The vesting of options is based on the employee's annual performance ratings as mentioned below.

Performance Rating	Vesting %
1	0%
2	50%
3	85%
4	95%
5	100%

- d. You would be liable to pay Tax in the same assessment year at ***the normal rate of taxation applicable to you for value of benefit being a perquisite***. The value of benefit will be the fair value of the shares allotted pursuant to the exercise of option on the date of Exercise of Option as reduced by the amount paid by you for exercising the option. ***The rates of taxation applicable to you are subject to change as per Government Policy.***
- e. The employees are required to pay an exercise price at the time of exercising of the options vested in them. The exercise window will open every 6 months and shall remain open for a period of 7 days.
- f. The employees are required to pay the exercise price by way of a crossed cheque or a demand draft drawn or through online transfer in the Bank Account of Midland Microfin Limited, the details of same will be provided at the time of Vesting of Options. Further, the employees can even opt for a deduction from their respective salaries also.
- g. There is a statutory minimum vesting period of 1 year from the date of grant of option after which the employees can exercise the option.
- h. The options are liable to lapse if the employment is terminated or asked to leave prior to vesting, even after the options are vested, unexercised options may be forfeited, if the employee is terminated for gross misconduct and the employee should be permanent.
- i. The option holder shall not have the right to receive any dividend or to vote or in any manner enjoy the benefits of a shareholder in respect of option granted to him, till shares are issued on exercise of option.
- j. The Equity shares so allotted shall be subject to lock in in for a period of 6 months from the date of allotment of shares to the Employee after each exercise. However, the same condition would not be applicable for the employees who have completed 5 years with the company till Sep 30, 2023

You understand that the Options are being Granted under the MML ESOP Scheme 2024 and shall be governed by the terms and conditions as set out in the same including but not limited to the provision that the Nomination and Remuneration Committee of the Board of Directors of the Company, subject to Applicable Law, may at any time alter, amend, the terms of this Grant. from time to time, upon request from the

Midland Microfin Limited

Company, you agree to execute any documents, agreements, forms and/or provide such undertakings, as may be required to implement the MML ESOP Scheme 2024.

This letter envisaged therein constitute the entire agreement between you and the Company in connection with grant of employee stock options of the Company and supersede all previous communication or commitments made to you, whether in writing or otherwise, on this matter.

These options are a token of our appreciation and gratitude for believing in the Company and helping it reach its current height. However, we believe this is just the beginning and hope you will continue to extend your support in the years to come. These options are being awarded to you considering your present role and the contribution to value you are expected to make in the years to come. As the Company grows as a whole, the value of these options would also increase.

You are obliged to ensure complete confidentiality in respect of all documents, matters and discussions in relation to the Plan, Grant, the Grant Letter or any related matter. You shall also ensure that there shall be no violation of the insider trading code of conduct of the company on your part while exercising the options under the Plan.

Any violation may result in cancellation of the grant without prejudice to any other action which may be taken in this regard.

I agree to the terms and conditions of the MML ESOP Scheme 2024 and this Grant Letter.

For Midland Microfin Limited

Acceptance by Employee



(Authorized Signatory)

(Employee Signature)